Volt: Financial Semantics for Option Portfolio Graphs

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Abstract

An option portfolio appears in several operational forms: listed contracts and quantities, an expiration payoff, live exercise and assignment state, executions and cash movements, and model features. Independent implementations of these forms can disagree about which position was evaluated or traded. Volt defines the listed contracts and signed positions as the authoritative portfolio and derives payoff, runtime, compiler, and graph views from that object. European, Bermudan, and American exercise share one exercise-opportunity representation; the runtime records exercise, assignment, expiry, cash, and delivered underlying as state transitions. A deterministic graph connects each option position to its portfolio, underlying, and expiry while retaining hashes of the contract portfolio and expiration-payoff projection. The COG compiler resolves bounded semantic actions to listed contracts and emits aligned action nodes and legal masks. This paper defines those financial semantics, identifies the equivalence represented by each derived view, and states the implemented boundary supplied to portfolio discovery and sequential control.

1 Introduction

The security master identifies the listed contract, the position service records quantity, the risk system attaches marks and sensitivities, the payoff tool projects expiration cash flows, and the execution ledger records fills. A research pipeline produces another representation when it converts the position into model features and outcomes.

A terminal payoff groups portfolios by expiration geometry. A runtime state records rights, obligations, cash, inventory, and lifecycle events. A graph exposes relationships to a learning model. An execution journal explains how the account reached its current state. Each view retains the identity needed for its purpose and a link to the contract portfolio.

Volt begins with listed option contracts and signed quantities. Contract terms remain fixed, market observations are timestamped context, and lifecycle events change an explicit portfolio state. Terminal payoff and machine-learning graphs are derived views tied back to the contract portfolio by versioned content hashes. The statistical model therefore receives a stable representation while pricing, execution, exercise, assignment, and settlement remain governed by declared financial components.

The design supports two research problems. Portfolio discovery evaluates and ranks entry portfolios constructed from listed contracts. Portfolio control chooses actions repeatedly as the market and account state change. Both consume the same contract, runtime, compiler, and graph semantics.

Research on financial contract languages established that a compact contract description can support several interpretations, including valuation, evolution, and executable lowering [1, 2]. Later work added verified analyses and compilation to parallel payoff evaluation [3, 4]. Production and standards efforts have applied related ideas to derivative payouts and lifecycle events [5, 6, 7]. Volt applies this separation of meaning and interpretation to listed-option portfolio search.

2 Contracts, positions, and market state

2.1 Listed contracts

At decision time t, let

$$\mathcal{U}_t = \{o_1, \ldots, o_d\}$$

be the eligible listed contracts. Contract o_i contains

$$o_i = (\mathrm{id}_i, u_i, c_i, r_i, K_i, T_i, m_i, \mathcal{E}_i, \zeta_i),$$

where id is the contract identifier, u the underlying, c the settlement currency, r the call or put right, K the strike, T the expiry, m the multiplier, $\mathcal{E}$ the exercise-opportunity set, and ζ the settlement rule.

A portfolio is a sparse quantity assignment

$$q = (q_1, \ldots, q_d) \in \mathbb{Z}^d.$$

Positive quantities are long and negative quantities are short. Repeated trades in one contract are netted into one q_i. The fills and fees remain in the execution journal even when the current quantity becomes zero.

Market observations form a separate state c_t. Spot, option marks, bid and ask prices, volatility coordinates, rates, dividends, and liquidity measurements can change without changing contract identity. This separation also determines the unit of a learning example: a portfolio q observed in market state c_t.

2.2 Admissible portfolios

The position algebra admits every integer quantity vector. Trading and research constraints define

$$\mathcal{C}_t = \{q \in \mathcal{Q}^d : g_j(q, c_t, a_t) \le 0,\ j = 1, \ldots, J\},$$

where $\mathcal{Q}$ is a bounded quantity set and a_t is account state. The functions g_j may impose leg-count, gross-quantity, liquidity, exposure, capital, and margin limits.

Volt implements contract validity, exercise authority, bounded quantity grammar, point-in-time contract resolution, and several portfolio guards. Account capital, portfolio margin, and broker eligibility remain inputs from the application that owns the account.

3 Derived identities

The system retains four identities under four equivalence relations.

Identity	Equal when	Information retained
Contract portfolio	The net quantity of every listed contract agrees	Contract terms, exercise style, settlement, multiplier, and quantity
Expiration payoff	The selected-horizon payoff functions agree	Cash, underlying exposure, and payoff changes at strike knots
Runtime state	The versioned positions, lifecycle, cash, inventory, and sequence agree	Open rights and obligations plus completed state transitions
Graph sample	The derived node, edge, context, and source hashes agree	Model features and their links to contract and payoff identities

3.1 Expiration-payoff projection

For vanilla options on one underlying and expiration, a static European portfolio can be written

$$\Pi(S_T) = a + bS_T + \sum_{j=1}^{n} c_j (S_T - K_j)^+, \qquad K_1 < \cdots < K_n.$$

Here a is cash, b is underlying exposure, and c_j is the change in payoff slope at strike K_j. The identity

$$(K - S)^+ = K - S + (S - K)^+$$

converts puts into the same hinge representation.

Let $\Phi_T(q)$ denote this expiration-payoff projection. The relation

$$q_1 \sim_T q_2 \quad \Longleftrightarrow \quad \Phi_T(q_1) = \Phi_T(q_2)$$

groups contract portfolios that share the selected terminal geometry. American exercise, assignment, liquidity, funding, transaction costs, and the path of option marks can distinguish members of one payoff class. The contract-portfolio hash is therefore retained alongside the payoff hash.

3.2 Execution identity

Position netting and payoff projection operate on the current holding. The execution journal records the route into that holding. If a is a trade and $\mathcal{C}_t(a)$ its cash consequence, then

$$a + (-a) = 0$$

in the position algebra, while a round trip across bid b_t and ask a_t with multiplier m, quantity q, and fees f produces

$$-|q|m(a_t - b_t) - f.$$

Execution paths reaching the same portfolio may also differ through partial fills, package execution, legging risk, market impact, financing, or hedge turnover. Portfolio comparison can use netted positions without discarding that evidence.

4 Exercise and lifecycle semantics

4.1 Exercise opportunities

Let

$$\mathcal{T} = \{\tau_0, \tau_1, \ldots, \tau_H\}$$

be the event or observation grid. Each option declares an exercise set $\mathcal{E}_i$:

$$\begin{aligned} \text{European:} \quad & \mathcal{E}_i = \{T_i\}, \\ \text{Bermudan:} \quad & \mathcal{E}_i = \{t_1, \ldots, t_n = T_i\}, \\ \text{American:} \quad & \mathcal{E}_i = \{\tau_j \in \mathcal{T} : t_{\text{first},i} \le \tau_j \le T_i\}. \end{aligned}$$

European and Bermudan contracts are restrictions of the American opportunity representation. A simulation grid discretizes the American interval; its spacing and event alignment are experiment assumptions.

Exercise authority belongs to a long holder while the opportunity is open. Assignment is an external event for a short writer. The action type and runtime validation preserve this distinction, preventing a policy from treating assignment as a voluntary short-side action.

4.2 State transitions

Runtime state at event time t is

$$x_t = (x_t^C, x_t^P, x_t^M, x_t^A, x_t^R),$$

with contract, portfolio, market, account, and protocol components. One action and one market observation produce

$$(x_{t+1}, e_{t+1}) = F_\omega(x_t, a_t, z_{t+1}),$$

where ω identifies the execution and lifecycle rules and e_{t+1} contains typed cash, underlying, and consumed-right emissions.

For $n > 0$ physically settled long calls with multiplier m, exercise emits

$$\Delta Q_u = nm, \qquad \Delta C = -nmK.$$

A long put emits

$$\Delta Q_u = -nm, \qquad \Delta C = nmK.$$

Assignment of a short position reverses the postings. Cash settlement emits signed intrinsic value and leaves underlying inventory unchanged.

For example, assignment of one short, physically settled 100-strike put with multiplier 100 consumes the short option, posts 100 shares, and debits 10,000 units of cash. The next state carries the shares and cash into subsequent risk and management decisions.

4.3 Replay

Each accepted transition records the schema version, sequence, prior and next state hashes, action, observation, typed emissions, rule identifier, and journal-entry hash. Content hashes use a versioned namespace and canonical serialization:

$$H = \mathrm{SHA256}(\text{schema namespace} \| 0\text{x}00 \| \text{canonical content}).$$

Replaying the same versioned contract definitions, initial state, observations, and actions reproduces the state and emission sequence.

5 Portfolio graph

5.1 Implemented graph schema

The implemented portfolio graph contains a portfolio node, one underlying node, one expiry node, and one node for each nonzero option position:

$$V = \{v_{\text{portfolio}}, v_{\text{underlying}}, v_{\text{expiry}}\} \cup V_{\text{position}}.$$

Each position has three typed directed edges:

$$\begin{aligned} v_i &\xrightarrow{\text{position in}} v_{\text{portfolio}}, \\ v_i &\xrightarrow{\text{written on}} v_{\text{underlying}}, \\ v_i &\xrightarrow{\text{expires at}} v_{\text{expiry}}. \end{aligned}$$

The position node carries contract identifier, option right, settlement, exercise style, strike, mark, signed quantity, multiplier, first exercise time, and exercise-opportunity count. The underlying node carries spot and currency; the expiry node carries expiry and time to expiry. Marks are graph context; contract terms retain fixed legal and economic definitions.

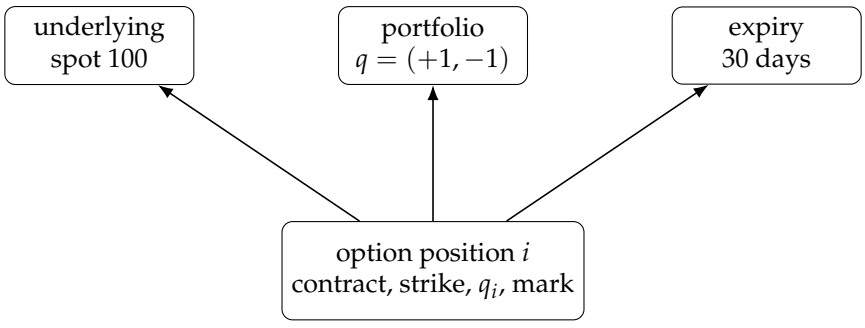


Figure 1: Each nonzero leg creates one option-position node connected to its portfolio, underlying, and expiry through the typed relations defined above. The two-position example instantiates the node for the long 90 call and the short 110 call. Contract quantities determine the candidate; spot and marks belong to the decision state.

Figure 1 contains one candidate–state pair. Changing a contract or quantity produces another candidate. Changing spot, marks, or valuation time produces another state. Reordering the position nodes preserves the graph and portfolio identity.

5.2 Runtime state/action graph

The additive `RuntimeStateActionGraphSample` represents continuing control states. It creates one expiry node for each distinct contract expiry and retains live, exercised, assigned, expired, and closed position nodes. Cash ledgers, delivered-underlying inventory, and an account node carry the balances and limits seen by the policy. Compiler action slots enter as nodes with their exact contract, quantity, mark, expiry, source rule, and rejection reason.

The runtime graph adds portfolio-to-account, cash-to-account, inventory-to-account, action-to-portfolio, action-to-position, and action-to-account relations. Position and action nodes connect to their corresponding underlying and expiry nodes. One graph can therefore contain several expiries while preserving exact contract identity.

The exported legal mask first applies compiler guards and contract rules, then checks declared account limits for live position count, gross option quantity, minimum cash, absolute underlying inventory, and deterministic option costs. These limits provide a reproducible research account model. Broker portfolio margin, locate rules, and market liquidity remain separate authorities.

5.3 Graph identity and targets

`PortfolioGraphSample` stores the graph schema version, a feature sample identifier, the contract-portfolio hash, the expiration-payoff hash, nodes, edges, and an optional target. The target is excluded from feature identity, allowing an evaluator correction to update a label without changing the candidate–state identifier.

Targets may contain path-aggregated P&L, drawdown, costs, exercise effects, or other declared outcomes. The scenario evaluator produces those values; the graph transports the structural inputs and provenance to a set model, graph neural network, optimizer, or analysis tool.

The static graph retains one underlying and one common expiry for candidate-ranking compatibility. The runtime graph supplies multi-expiry, account, inventory, and action nodes. Multi-underlying, risk-factor, and event nodes remain extensions. Each additional relation is measured against an order-invariant set model through prediction and ranking [8, 9].

6 Compiler and candidate actions

The `COG` compiler converts versioned structured source into an immutable financial program:

$$\text{source} \longrightarrow \text{validated contracts and rules} \longrightarrow \text{compiled artifact.}$$

Source contains the listed universe, initial positions, candidate grammar, typed guards, priorities, and an optional scenario objective. Compilation validates the schema and contracts, collects source-addressed diagnostics, normalizes rules, resolves semantic contract coordinates, and records source and artifact hashes.

At a decision state, the compiled artifact evaluates its guards and emits stable candidate-action slots with rejection reasons and an aligned legal mask. Implemented actions are `AddLeg`, `RemoveLeg`, `ResizeLeg`, `Wait`, and holder-authorized `Exercise`. A semantic addition can use option right, tenor, and moneyness or supplied delta coordinates; the point-in-time resolver returns matching listed contracts in stable order.

The state/action graph combines:

$$(\text{portfolio graph}, \text{runtime context}, \text{action nodes}, \text{action edges}, \text{legal mask}).$$

Action edges identify the current portfolio, a targeted live position, or the underlying used by a proposed addition. A learned policy scores these action nodes after deterministic contract and lifecycle legality have been applied. The application composes liquidity, capital, margin, and broker constraints with the compiler mask.

Multi-leg strategy macros, close and roll plans, account policy, and tensor lowering remain development work. Direct portfolio discovery can proceed with generated signed contract quantities before those conveniences are available.

7 Scenario evaluation and evidence

One scenario path supplies timestamped underlying observations, option marks or quotes, and external events. `ScenarioSimulator` opens the portfolio, applies the declared fill and cost rules, advances lifecycle actions through the runtime, and records pathwise and terminal P&L with leg attribution.

Two implemented fill conventions establish an explicit execution boundary. `DeclaredMark` uses the supplied mark as a synthetic fill. `CrossAtTouch` buys at the ask and sells at the bid, and requires the corresponding quote side. Historical or generated research must additionally declare the mark source, missing-data rule, assignment model, management policy, and option-valuation method used between observations.

For path cohort $\Xi_t = \{\xi_1, \ldots, \xi_M\}$, the evaluator produces

$$y_t(q) = A\left(\{R(q, \xi_m; c_t, \nu, \mu, \alpha, \omega)\}_{m=1}^{M}\right).$$

Here ν is the mark or valuation rule, μ the management and exercise rule, α the assignment rule, ω the execution and settlement rules, and A the outcome aggregation. These versioned inputs give the graph target its financial interpretation.

Decision-time features use observations available at t. Future observations on Ξ_t create outcomes. Dataset records therefore retain event time, as-of time, source revision, visible contract universe, quote rule, exercise and assignment assumptions, and split membership.

8 Implemented boundary

Component	Current public implementation
Contracts	`OptionContract`, European/Bermudan/American exercise schedules, cash or physical settlement, and `Position`
Market evidence	Versioned source manifests, historical or generated observation provenance, ordered option observations, and declared proxy or top-of-book authority
Portfolio identities	`CanonicalPortfolio`, netted quantities, semantic hashes, and `TerminalPayoffProjection`
Lifecycle	`CogRuntime`, immutable `PortfolioState`, exercise, assignment, expiry, cash and underlying emissions, and journals
Scenarios	`ScenarioSimulator`, declared-mark and touch fills, fees, pathwise P&L, terminal P&L, leg attribution, and result hashes
Candidates and compiler	`CandidateGrammar`, `CogCompiler`, guarded rules, compiled artifacts, action sets, rejection reasons, and legal masks
Graph views	`PortfolioGraphSample`, `CompiledPortfolioGraphSample`, and `StateActionGraphSample`; `graph_export` converts declared marked contracts and quantity vectors into canonical graph samples

The repository also contains deterministic `cog`, `graph`, `zap`, and `risk` examples. They exercise compilation, candidate enumeration, graph export, portfolio reduction, and an educational risk display using synthetic data. A research driver uses the public graph exporter with generated American CRR marks, fixed exercise and assignment policies, constrained portfolio enumeration, path-labelled targets, and a Deep Sets baseline. A parameter-matched typed graph network consumes the exported nodes and position-to-portfolio, position-to-underlying, and position-to-expiry relations. Its market adapters, trained weights, and experiment records remain outside the public financial-semantics crate.

Executable historical quote adapters, account and margin policy, promotion of the research hedge-policy interface, richer account and action relations, strategy macros, and GPU lowering remain integration work.

9 Validation

Semantic tests compare direct portfolio payoff with the hinge projection, check that position order leaves portfolio and graph identities unchanged, and replay lifecycle journals from versioned inputs. Compiler tests check diagnostic collection, rule priority, stable branch order, aligned action masks, and state binding.

The first learning study adds three empirical checks. First, every target is recomputed by the financial evaluator from its recorded assumptions. Second, chronological splits keep label-horizon observations out of model inputs. Third, the typed graph network receives the same contracts,

market context, targets, candidate split, and optimization budget as the Deep Sets baseline. The current fixed-expiry topology establishes the executable comparison; edge and relation ablations measure richer graph structure next.

These tests separate three sources of failure: financial semantics, dataset construction, and statistical estimation. A model result can be traced to the candidate–state graph, the exact contract portfolio, the path cohort, and the runtime evidence that produced its outcome.

10 Conclusion

Listed contracts and signed quantities determine the portfolio exported to a learning system. Exercise schedules and runtime transitions determine its continuing state, while fills and journals record changes in cash, option rights, and underlying inventory. The payoff projection and graph are derived records linked by versioned identifiers to those inputs and transitions.

The implemented graph contains portfolio, underlying, expiry, and option-position nodes with typed edges. The `COG` compiler adds point-in-time action nodes and deterministic legal masks. Path evaluation supplies supervised outcomes. These records support the direct portfolio search developed in the discovery paper and the state/action interface used by sequential control.

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